SEIS / EIS eligibility checklist (UK)

Use this to find the obvious problems before you approach investors. The schemes have detailed rules that change, and eligibility is decided by HMRC. Check the current rules on gov.uk and take professional advice before you rely on them. Figures below are the commonly quoted limits and must be confirmed.

The company

- ■ A UK company with a permanent establishment in the UK (a sole trader cannot use these schemes).
- ■ Not listed on a recognised stock exchange, and not controlled by another company.
- ■ SEIS: trading for less than 3 years. EIS: usually less than 7 years since first sale (longer in some cases).
- ■ SEIS: fewer than 25 full-time-equivalent employees and gross assets of £350,000 or less before the investment. EIS: fewer than 250 employees and gross assets of £15 million or less.
- ■ A qualifying trade carried on, or being prepared for. Some trades are excluded (for example property, financial services, legal and accounting services, farming, hotels and care homes).
- ■ SEIS: has not raised money under EIS or venture capital trusts before. Not previously raised through SEIS beyond its limit.
- ■ The money raised is for growing the trade, not for buying other businesses or shares.

The raise

- ■ SEIS: no more than £250,000 raised in total under SEIS over the company's life.
- ■ EIS: limits on the total raised per year and in a lifetime from venture schemes (check the current figures).
- ■ Shares are new, full-risk ordinary shares with no guaranteed return or protective arrangements.
- ■ Investors do not have, and will not get, a link to the company that stops relief (for example a large shareholding, or being an employee beyond limits).

Before you start

- ■ Ask HMRC for advance assurance (it takes weeks and many investors expect it).
- ■ Prepare a business plan, accounts and details of the shares for the advance assurance application.
- ■ Keep the money in a UK business bank account and use it as planned.
- ■ File the compliance statement after the shares are issued so investors can claim.

Official help: gov.uk, search 'Seed Enterprise Investment Scheme' and 'Enterprise Investment Scheme'.